

What Lenders Want

There are many kinds of lenders, but most buyers who want to take out a mortgage on a single-family home get their loans through a bank or credit union. These lenders look at two things before they loan out their money:

- The borrower's creditworthiness
- The property itself, and whether it offers solid value
- The desired loan

Of course, the lending climate also depends on the economy. Is inflation high? Are there rampant foreclosures in the area? How many people can afford to borrow money at the moment? While you can't discount these factors when helping clients navigate the lending world, the two items that lenders look at remain constant. Let's examine them a little more closely.

Borrower Creditworthiness

A lender looks at several factors to determine whether a borrower is a good credit risk. These include:

- Income
- Two types of debt ratio
- Employment history
- Credit

Income

Borrowers must provide the lender with their previous two years of federal income tax returns, which are averaged with their current verified income. Self-employed people may have more difficulty proving income and meeting the requirements for ability to repay.

Two Debt Ratios

To assess credit risk, lenders also calculate the monthly housing expense to income ratio and the total payment obligations to income ratio.

Examples

Monthly housing expense to income ratio : If Lonnie can buy the house she wants, she'll be paying \$2,800 a month for the mortgage. Her monthly income is \$3,500. Her lender looked at this ratio to decide if Lonnie is more or less likely to default on a loan. In this example, the lender determined that this loan would NOT be a good investment, since the mortgage payment would be 80% of her income.

Total payment obligations to income ratio: Darla calculated her monthly debt payment (i.e., her total payment obligation). She pays \$550 a month for her car and \$450 a month for a student loan. She's also paying off a credit card to the tune of \$300 a month. If she gets the mortgage she wants, she'll pay \$800 a month for it, so her monthly debt obligation would be \$2,100. Her monthly income is \$6,600. That puts her total debt obligation at 32%. Most lenders prefer a ratio lower than 36%, so Darla's numbers look good. This is a mortgage she'll likely qualify for.

While there's variation in how lenders compute these ratios, and lenders can consider extenuating circumstances (such as a borrower's excellent credit history or anticipated future earnings), current federal lending rules state that all debts for qualified mortgages can't exceed 43% of the borrower's income.

Employment History

Lenders want to know if potential borrowers are gainfully employed, and if they can prove it. They want documentation to verify income details, such as bank statements, rental or mortgage history, loan balances, W-2 statements, and pay stubs.

Credit

Lenders want to know a borrower's credit history and credit scores. They want to know, too, how much available credit a borrower has, and the ratio of existing debt to income. Lenders get this information themselves, rather than relying on the borrower to provide it.

The Property Itself

The lender wants to know the investment value of the property. To determine that, the lender looks at these property qualities:

- Property appraisal
- Loan-to-value (LTV) ratio

- Property type
- Property information

The Property Appraisal

Lenders usually base property value on the appraisal price, but not always. If the sale price is lower, the lender may lean towards the price of the sale. But there's many factors lenders consider when determining the property value i.e. if the value of comparable properties (comps) is vastly higher, the comps may raise the property value. But this magic is left to the lender to determine.

Example

Damian bought a house for \$300,000, but it appraised at \$325,000. His lender uses the actual purchase price to determine the LTV ratio.

LTV Ratio

Obviously, the lower the LTV ratio, the more likely the lender is to make the loan. Remember that different types of loans require different LTV ratios. The primary lender or the secondary mortgage market dictates these ratios.

Examples

- If a primary lender knows that the secondary mortgage market won't buy mortgages if they're above an 80% LTV ratio, that lender won't make 90% loans (at least, not without private mortgage insurance).
- Hans wants to get a loan for \$200,000 so he can purchase a house worth \$275,000. The LTV ratio equals the loan amount divided by the purchase price of the house. In this case, the LTV ratio is 73%. This is less than the normal 80% cutoff rate, so Hans should qualify for this loan.

Property Type

Lenders consider owner-occupied properties to be better risks than investment properties, because owners tend to take better care of their properties. People are more likely to let an investment property go into default than they are their own homes. Therefore, lenders usually accept higher LTV ratios for an owner-occupied properties.

Property Information

Lenders look at a property's legal description, its improvements, the title, survey, and tax information.

The Desired Loan

Lenders assess the actual loan information, such as the loan's purpose (single-family home, vacation property, multi-unit property, etc.), the proposed loan amount, interest rates, and loan repayment terms.